

PREPARED BY



PREPARED FOR

Bakers Tankers
Bakers Bulk · MG Carriers

INSURANCE REVIEW · 15 SEPTEMBER 2026

One question before anything else

We were asked to compare quotes. Reading the documents raised something more important than price, and we would not be doing our job if we led with a saving instead. This pack sets out what we found, what it means, and what has to be answered before you decide anything.

PRIORITY

**Hazardous
materials**

your motor policy excludes them

MOTOR TODAY

R75,457

30 vehicles

GOODS IN TRANSIT

-R2,455

per month, like for like

Your motor policy says it does not cover vehicles carrying hazardous materials

Your OUTsurance fleet schedule, policy **OT89649119**, records your business as **"Service & repair, Transport, goods"** and prints this under Fleet special conditions:

FROM YOUR OWN SCHEDULE

"OUTsurance does not provide cover in the following instances:

- * for code 4 (demolished) vehicles
- * when the vehicle transports money
- * when the vehicle transports hazardous materials**
- * when the vehicle transports people ..."

The goods in transit quotation prepared for you on 14 September describes what you carry as:

FROM THE GOODS IN TRANSIT SUBMISSION

"General Goods, **Diesel, Petrol, Illuminated Paraffin, Jet Fuel**, FMCG, Scrap Metal and Scrap Batteries."

Diesel, petrol, paraffin and jet fuel are hazardous materials. On the face of these two documents, the vehicles carrying them sit outside the motor policy that is supposed to cover them.

AND IT IS NOT SIMPLY A WORDING SLIP

The same OUTsurance schedule **sells you environmental impairment liability of R5,000,000 on each vehicle**, at R91.09 a month, and records **"Type of substance: Liquid. Containers used: Yes."** So the insurer has recognised and priced a liquid pollution risk on the very vehicles its fleet conditions say it does not cover. One of those two positions has to give.

WHAT WE HAVE ASKED FOR

A written confirmation from OUTsurance, reflected on the schedule, that either the hazardous materials exclusion does not apply to your fleet, or that it does.

We are not asking you to change anything on the strength of this. We are asking you not to decide anything until it is answered, because if the exclusion applies as written, the question of which quote is cheaper does not arise.

The two motor documents cover very different fleets

Before any price can be compared, the two documents have to be describing the same thing. They are not.

	VEHICLES	SUM INSURED	ALL-IN MONTHLY
OUTSURANCE OT89649119, IN FORCE	30	RETAIL BASIS	R75,457.10
Alpha motor fleet quotation	183	R58,720,832	R138,104.10
WHAT ALPHA HAS QUOTED	UNITS	SUM INSURED	PREMIUM
Heavy commercial vehicles	29	R24,147,118	R64,392.31
Trailers over 3,500kg	119	R27,206,482	R22,663.00
Private type vehicles	19	R5,338,232	R7,842.75
Light commercial vehicles	16	R2,029,000	R3,504.76

COMPARED PROPERLY, ALPHA IS CHEAPER ON THE TRUCKS

	TRUCKS	PREMIUM	PER TRUCK
OUTsurance	26	R62,854.24	R2,417.47
Alpha	29	R64,392.31	R2,220.42

R197.05 per truck less, about 8.2%, and three more trucks. The whole difference between R138,104 and R75,457 is the **115 extra trailers, 16 light commercials and 19 private cars** that your OUTsurance policy does not cover.

WHICH RAISES THE QUESTION WE NEED YOU TO ANSWER

OUTsurance covers 30 vehicles: 26 heavy units and 4 trailers. Alpha has quoted 183. **What insures the other 153?** Either there is a second motor policy we have not seen, or a large part of the fleet is running uninsured. We would rather ask than assume.

Spill clean-up, and why we cannot recommend the motor move yet

On a general freight fleet the decisive cover is the third-party limit. On a tanker fleet it is what pays to clean up a spill, because that is the loss that runs into millions before anyone has counted the vehicle.

	THIRD PARTY LIABILITY	POLLUTION AND CLEAN-UP
OUTSURANCE, IN FORCE	R5,000,000	ENVIRONMENTAL IMPAIRMENT LIABILITY R5,000,000 PER VEHICLE, R91.09/MO
Alpha, quoted	R5,000,000	Clean-up costs, leakage from vehicle, R1,000,000

TWO PROBLEMS WITH THE QUOTED VERSION

1. The limit is one fifth. R1,000,000 against R5,000,000, for a clean-up on a national road.

2. It sits only on the truck section. Alpha's liability tables for trailers over 3,500kg, for light commercials and for private vehicles each carry third-party liability of R5,000,000 and **no clean-up line at all**. On a tanker fleet the product is in the trailer, not the horse. A spill from a tanker trailer may fall outside an extension written only against the truck.

ONE THING TO KNOW ABOUT THE COVER YOU HAVE

The OUTsurance environmental liability is written on a **claims-made basis with a retroactive date of 30 June 2026**. It reaches back about six weeks. Anything that happened before that date is not covered for pollution on either document. That is worth knowing whichever way you go.

WHAT WE ARE DOING ABOUT IT

There is a specialist product for exactly this, **The Transport Clean-Up**, from EnviroSure Underwriting Managers, underwritten by Centriq. It writes indemnity limits from **R1,000,000 to R30,000,000**, and it can bring the **excess down to nil inside South Africa**. It also covers spillage from your own vehicle fuel tank, spillage while loading and off-loading, and appoints an approved clean-up specialist on a 24-hour line.

We have started that application. **Until there is a real clean-up number at a real limit in front of you, we are not going to recommend moving the motor account**, whatever the premium says.

The one place we can give you a straight answer today

Both documents are built on the same **R50,000,000 annual carry**, and the limits line up almost exactly. This is a genuine like-for-like.

BASIS		MONTHLY
SANTAM SPECIALIST MARINE AMDBLE265448M VIA STERLING HAMILTON WRIGHT	R50,000,000 AT 1.00%, R500,000 A YEAR INCLUDING VAT AND STRIKES AT 0.05%	R41,666.67
via Nautical Underwriting Managers	R50,000,000 at 0.90%, R450,000 a year, plus Sasria R1,712.15	
Difference		-R2,454.52 about R29,454 a year
LIMIT	SANTAM, TODAY	NEW NATIONAL, QUOTED
Any one carrying conveyance	R1,620,000	R1,620,000 ✓
Driver fidelity	R1,620,000	R1,620,000 ✓
Tarpaulins, nets, ropes, chains	R25,000	R25,000 ✓
Salvage and load recovery	R25,000	R25,000 ✓
Debris removal	R25,000	R30,000
General excess	10% min R10,000	10% min R10,000 ✓
Hijack and theft excess	25% min R25,000	25% min R25,000 ✓
Territories	RSA, Eswatini, Botswana, Mozambique	Twelve, adding DRC, Namibia, Lesotho, Angola, Kenya, Zimbabwe, Zambia, Malawi

TWO THINGS TO SETTLE BEFORE WE MOVE IT

1. Who is named. Your Santam policy insures **Bakers Tankers, Bakers Bulk and MG Carriers**. The new quotation names **Bakers Tankers alone**. As it stands, moving would leave two of the three entities without goods in transit cover. That is a correction, not a negotiation.

2. An extra excess on high-value loads. The new quote adds, on top of the normal deductible, a further **25% of claim, minimum R25,000**, on "high risk cargo" worth more than R1,000,000 unless the load has an armed escort. Its own example puts a R1,500,000 hijacked load at **R525,000 of total excess**. Its definition of high risk cargo includes copper and similar metals, and batteries. **Your scrap metal and scrap battery loads would fall into it.** Fuel does not. We are getting that confirmed in writing.

AND ONE QUESTION ONLY YOU CAN ANSWER

The extra eight territories are worth real money **if you use them**. If your work is South Africa and the neighbouring states, they are worth nothing. Tell us which, and we will price it honestly either way.

What we recommend, and what we are not recommending yet

SOMETHING WORTH KNOWING BEFORE ANY MOTOR DECISION

Your OUTsurance schedule projects a **Business OUTbonus of R307,010.54, payable to you on 7 August 2028**, based on your current claims ratio. Moving the motor account forfeits it. We are telling you that even though it argues against a change, because you should hear it from us rather than find it later. It is a claims-ratio benefit, so it is not guaranteed, but it is real money and it belongs in the decision.

OUR RECOMMENDATION

- 1 Hold the motor account where it is for now.** Not because the quote is poor, it is 8.2% cheaper per truck, but because its spill clean-up cover is one fifth of yours and sits on the wrong section.
- 2 Get the hazardous materials answer in writing.** This is the one that could change everything.
- 3 Tell us what insures the other 153 vehicles.**
- 4 Let us finish the clean-up application** so you can see a proper limit and a nil excess option.
- 5 Move the goods in transit** once all three entities are named and the high-risk-cargo excess is confirmed. That saving is real and it is about R29,454 a year.

ONE OPERATIONAL ITEM THAT IS WORTH MONEY EITHER WAY

The new goods in transit terms make theft cover on **any load over R500,000** conditional on **live satellite tracking, operational at the time of the claim**, or a convoy of at least three vehicles. A full fuel load is comfortably over R500,000, so in practice that is every trip, and it applies to the **trailer** as much as the truck, because the cargo travels with the trailer. That is 29 trucks and 119 trailers. We can quote the units alongside whichever policies you end up with, and your ten-year claims record would also support driver scoring.

SMALLER THINGS WE WILL CLEAN UP

Your registered address appears as **15 Nereeniging Road, Alberton 1449** on one policy and **15 Vereeniging Road, Alberton 1451** on the others. The OUTsurance depot record allows a **maximum of 27 vehicles against 30 scheduled**. The new goods in transit quote carries no inception date and describes your loss history as clean for three years, which does not match the motor record. None of these change the advice, all of them should be right before anything is signed.